



Something Rotten in Fenmark

Fenmark's, a chain of large fish restaurants, had a problem.¹ Too much fish seemed to be going to waste. As the CEO of Fenmark's, Christina Gauss, said, "the data really point to our throwing away too much fish."

History

The first Fenmark's restaurant was established in 1931 in Cauchy, California, a small seaside town. From the beginning, Fenmark's specialized in fish. Taking advantage of the local catch, Fenmark's promoted itself as the place for fresh fish. In 1933, with the end of prohibition, Fenmark's started selling beer. As its popularity grew, it moved into a former cannery and was soon serving hundreds of customers a night in a lively and raucous atmosphere.

In 1946, Pascal Fenmark, the founder, sold the restaurant to Eric Weibull, who quickly began to expand the company into a chain of restaurants throughout California, Oregon, and Washington. Pretty soon the catchphrase, "if it's fresh, it's Fenmark's," began to be heard over the radio, and later TV, from San Diego to Seattle.

Unlike other restaurateurs, who franchised their restaurants, Fenmark's owns all the restaurants in the chain. Traditionally, though, it has given the managers of each restaurant a fair amount of autonomy. As Christina Gauss remarked, "perhaps we've given them too much authority." In particular, concerns had risen about how much fish some restaurants were ordering.

Today, Fenmark's is run by Eric Weibull's granddaughter, Christina Gauss. Each Fenmark's is still, however, a large restaurant full of people having a good time.

Wastage

As part of its commitment to serving fresh fish, Fenmark's has pledged that all the fish it serves is fresh that day. This means that any fish not sold in a given day must be thrown out. Fish thrown out is known as *wastage*. Because all fish served in a Fenmark's restaurant is delivered by 10 AM on the day it's served, it is infeasible for a restaurant to vary its delivery to correspond to its daily demand. "It's a guessing game," is how one manager described the situation. In fact, except for holidays and some special weekends, almost every Fenmark's has a standing order for a given number of fish a day.

¹This case is fictional. It is based, however, on a real business situation.

It's a tricky business setting the standing order. Too many fish, and you're throwing away a lot of fish and, thus, a lot of money. Too few fish, and you're stuck pushing the fettucine alfredo or even closing early.

Currently, each restaurant's manager sets the standing order. Lately, however, Christina Gauss has been having doubts about the wisdom of this. "We're seeing a lot of wastage," she noted. A study of the restaurants found that the restaurants with the largest average wastage per day also had the lowest profit per day on fish. **(You can see data for two such restaurants in the Excel spreadsheet, `fish_restaurant.xls`; also see the note at the end of this case.)** For example, one restaurant had an average of 14.82 fish wasted per day and daily profits from selling fish of \$3,377.67, while another had an average of 43.80 fish wasted per day and daily profits from selling fish of \$3,123.00. At a price of \$6.00 per fish, the second restaurant was losing \$172 in wastage more per day on average than the first; or roughly \$62,000 more per year.

"Perhaps we need to start overseeing how managers are setting their standing order or even take that authority away from them," remarked Christina Gauss.

Not surprisingly, many of the restaurant managers take exception to such a suggestion. "I've been managing my Fenmark's for eight years, I know what I'm doing," said Daniel Bernoulli. "Sure my wastage average is high" (his is the restaurant wasting an average of 43.8 fish per day). "But would you rather I keep running out of fish? As it is, there are many nights where we run out and are basically down to serving just coffee and desserts. Someone needs to remind headquarters that stocking out is a bad thing too."

Data

In the spreadsheet `fish_restaurant.xls` you will find data on two Fenmark's restaurants. The data for each restaurant are on a separate sheet. The low-wastage restaurant's data are on the first sheet and the high-wastage restaurant's data are on the second sheet.

At the top of the sheet are the basic data for each restaurant, the price charged for fish, the cost per fish,² and the standing order. In the "Results" section, are shown average wastage per day and average profit per day. Finally, a day-by-day summary is shown for 360 "normal days" (*i.e.*, the data exclude holidays and special weekends, such as Mother's Day weekend). "Sales" are the number of fish (dishes) sold, "Wastage" is the difference between the standing order and the amount sold if the former exceeds the latter; otherwise wastage is zero. "Daily profit" is the revenue from sales less the cost of the standing order.

Study Questions

In preparation for the case discussion, you should consider the following questions:

²This is the price paid by Fenmark's per fish. Other costs associated with running the restaurant do not vary significantly with the number of fish served and have been omitted for convenience.

1. What is the problem at Fenmark's?
2. What is (are) the causes of the problem?
3. What do the data suggest about which of the possible causes are the most likely to be responsible for the problem?

Word to the wise: You will need to utilize the data in the spreadsheet if you hope to say something intelligent about the case.